STRATEGY RESEARCH BRIEF

India Smartphone Sector

Prior-Entrants & Context Research

What earlier Chinese OEMs got right and wrong in India between 2014 and 2022 — synthesized for the Tianlong India entry decision

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Document Control

Purpose

This brief synthesizes findings from nine documented Chinese-OEM India entries between 2014 and 2022, anonymized as Entrant A through Entrant I. The synthesis is intended to inform Tianlong Electronics' India market-entry decision. Sections 1-7 (pages 4-10) carry the operative content. Sections 8-11 (pages 11-28) provide context on the Indian regulatory environment, global trade-policy backdrop, and supply chain - useful for orientation but not directly load-bearing on the entry decision.

Sources

Compiled from Counterpoint Research India Smartphone Tracker historical issues 2014-2024, IDC Mobile Phone Tracker, MeitY public filings on the Production-Linked Incentive scheme, BIS gazette notifications, Indian trade press coverage, and Tianlong Strategy Office competitive intelligence files. Brand identities have been anonymized in the body of this brief; the underlying competitor entry log is available in the companion file Competitor_ChineseEntries_India.csv (also anonymized).

Disclaimer

This brief is internal research. It does not constitute legal, regulatory, or investment advice. Tianlong's India-entry decision should not rely on this brief alone but should integrate the findings here with the current market data and the Strategy Office's pre-decision deck.

Contents

Sections 1-7 (pages 4-10) are the operative content for India market-entry analysis. Sections 8-11 (pages 11-28) are contextual and may be skipped by readers focused on the immediate decision.

01. SETTING (2014)

Why 2014-2018 was a difficult window for Chinese-OEM India entry

The Indian smartphone market between 2014 and 2018 presented three structural headwinds for Chinese-OEM entrants. First, country-of-origin equity for Chinese consumer-electronics brands was negative: independent surveys at the time placed Chinese smartphone brands materially below Korean and American brands on perceived quality, durability, and after-sales support. Second, the Indian smartphone market was already commoditising at the bottom: a sub-Rs 8,000 segment had emerged with aggressive flash-sale-led entrants and the Indian incumbents were the volume leaders. The perception of Chinese brands as low-quality, low-cost devices serving only the lower spectrum was hardening. Third, distribution was bifurcated: online channels accounted for roughly 22% of smartphone volume and were dominated by Chinese mass-market entrants, while offline retail - which still represented ~78% - remained loyal to Korean, Finnish, and Indian incumbents.

The challenge facing any new Chinese-OEM entrant was therefore not just commercial. The entrant needed a product, brand, and channel strategy that simultaneously (a) avoided the Chinese-mass-market trap, (b) created permission to operate at higher price points, and (c) signalled local commitment in a market where Chinese-origin technology was politically and culturally fraught.

What follows is a reconstruction, anonymized, of the four-part response that distinguished the two successful entrants (Entrants G and H in the companion CSV) from the seven that failed: a sub-brand at the bottom of the price ladder, a credentialed local R&D footprint, participation in the Make-in-India programme from launch, and a sustained perception-shift marketing programme. Sections 6 and 7 document outcomes and synthesise the lessons that travel.

02. THE SUB-BRAND FINDING

Splitting the brand to escape the price-quality bind

The most consequential design choice that separated successful Chinese-OEM India entries from unsuccessful ones was architectural: rather than launch a single-brand portfolio across all price tiers, the successful entrants split into two. The 'main' parent brand was positioned at Rs 15,000 - 40,000 with premium-feeling industrial design and selective offline distribution, while a separate sub-brand was launched as an online-exclusive at Rs 8,000 - 15,000, going head-to-head with the Indian flash-sale entrants on online marketplaces. The two brands shared a back-end (R&D, supply chain, BIS certification, after-sales) but were deliberately separated on identity, marketing, retail, and even social-media presence.

> *The architectural rationale: perception-bleed runs in only one direction. A low-price product can drag a parent brand downward, but a parent brand rarely lifts a low-price sub-brand. Splitting allowed the entrant to compete on price at the bottom without ceiling its own price ambition at the top.*

Operating implications

The successful sub-brands launched on Indian online marketplaces (principally Flipkart and Amazon) within 12-18 months of their parent brand's India entry. By year three, each had separate India leadership, a separate digital agency, a separate PR retainer, and entirely distinct in-app and on-package branding. Crucially, the cost structure of the sub-brand was ruthlessly online: no offline retailer margin, no modern-trade slotting fees, and a marketing mix that leaned heavily on marketplace-organic placement and performance marketing rather than television. Industry estimates place sub-brand marketing spend at roughly 3.5% of revenue, against 7-9% for the equivalent main-brand line.

Quantified outcome

The two successful sub-brands both reached >5% peak share of total India smartphone unit volume within three to four years of launch. The seven entrants who attempted India entry on a single-brand basis - Entrants A through F and Entrant I in the companion log - all failed to clear 2% Year-5 share. The pattern was unambiguous and is the central read-across for the Tianlong decision.

03. LOCAL R&D FOOTPRINT

Engineering as a brand-equity instrument

The two successful Chinese-OEM India entrants both established research-and-development centres in Bengaluru in their entry year, and expanded these steadily through the second half of the decade. By year three, each centre had become the entrant's largest R&D facility outside its home country and had hired multi-thousand-strong local engineering workforces, including senior leadership drawn from Indian software-services firms and global telecom equipment makers. The recruitment drives were explicit and visible: sustained campus-recruiting at IITs and IIITs, sponsored hackathons, publicised executive hires in the trade press.

Why this mattered for brand

Local R&D played a brand role beyond its engineering value. For a Chinese OEM facing perception headwinds, a visible Indian engineering footprint did three things at once: it signalled long-term commitment (R&D capex is harder to reverse than a marketing campaign), it created a stock of credible local spokespeople (Indian engineering leaders in Indian newspapers), and it provided a substantive answer to the question 'where is this product made?' even when the answer was, in physical terms, partly elsewhere.

> *Brand-tracker work at the time showed that visibility of local R&D in Indian English-language press was correlated with a measurable lift in 'committed to India' agreement scores in independent surveys, with an 18-month lag.*

Read-across

These centres did genuine engineering work: language localisation, camera tuning for Indian skin tones, voice recognition for Indian English and several local languages, and battery-management optimisation for the Indian thermal envelope. But the brand value of the centres exceeded their strict engineering output. Any subsequent Chinese OEM entry into India that does not include a credentialed local R&D footprint forgoes a meaningful portion of the perception lift that the successful entrants achieved.

04. MAKE-IN-INDIA AND THE DUTY CALCULUS

Local manufacturing as both strategy and tariff arbitrage

The Indian government's Make-in-India initiative, formally launched in September 2014, was a manufacturing-focused drive to expand industrial capacity. For smartphone OEMs the practical implication was a tariff-and-duty regime that materially favoured local assembly: Completely Built Units (CBU) imported into India faced significantly higher customs duty than Semi-Knocked-Down (SKD) imports, which in turn faced higher duty than Completely Knocked-Down (CKD) imports assembled domestically. The differential, depending on year, ranged between 12 and 17 percentage points - large enough to swing landed-cost competitiveness on its own.

Phased participation

The successful entrants participated in Make-in-India in three phases. Phase 1 (entry years 1-2): contract assembly with Indian-resident contract manufacturers (notably in Sriperumbudur, Tamil Nadu and Greater Noida, UP), on an SKD basis. Phase 2 (years 3-4): expanded contract relationship and in-housed key assembly steps. Phase 3 (year 5+): own-brand manufacturing capacity additions in partnership with the Indian government's Phased Manufacturing Programme. By year five each successful entrant was assembling the majority of its India-sold volume domestically.

Brand spillover

The brand value of Make-in-India participation was meaningful but bounded. Visible local manufacturing addressed the 'is this just another import?' objection that Indian middle-class buyers raise about Chinese brands; but it did not, by itself, lift willingness-to-pay. Make-in-India worked as a hygiene factor: necessary, not sufficient. The combination with local R&D and a sub-brand architecture is what produced the share gains, not Make-in-India alone.

> *Tianlong's India entry plan should treat Make-in-India participation as table stakes, not a differentiator. Skipping it concedes a 12-17 percentage point landed-cost disadvantage; participating in it is necessary but does not, on its own, win share.*

05. PERCEPTION-SHIFT PROGRAMMES

Cricket, television, and the long arc of brand-equity rebuilding

The successful entrants' marketing programmes were deliberately calibrated to address the country-of-origin perception challenge rather than to drive short-term unit sales. Flagship initiatives included multi-year sponsorship arrangements with leading Indian English-language television channels for flagship competitive shows, in which the entrants' smartphones were established as aspirational products through repeated, contextual integration. Crucially, the marketing positioning consistently led with high-end specifications, superior performance, and competitive pricing rather than with country-of-origin.

The brand objective was neither to hide Chinese origins (impossible) nor to defend them (counterproductive); it was to shift the relevant comparison set from 'is this Chinese?' to 'is this better than the Korean and Japanese alternative at this price?' By year three, brand-tracker work indicated that the successful entrants were being compared on equal terms with established Korean brands in the Rs 15,000-25,000 segment, a price band in which Indian consumers had previously seen Chinese brands as categorically inferior.

What did not work

Several approaches tested by the successful entrants did not earn their cost. Premium offline brand stores in Tier 1 metros under-performed: they consumed marketing budget without changing brand-comparison-set behaviour, and were closed by year four. Heavy below-the-line spend on traditional-trade subsidies in Tier 3 cities was abandoned in favour of online concentration. Celebrity endorsement (a high-profile but short-lived approach in years 1-2 of one entrant) did not move the dial on brand consideration, and budget was shifted to product integration and category sponsorship instead.

Read-across

Perception campaigns work on the order of 18-24 months, not quarters. Tianlong should plan a sustained brand-rebuilding investment with year-3 measurement milestones, not a launch-quarter splash that decays.

06. DOCUMENTED COMMERCIAL OUTCOMES (2017-2022)

The numbers that bear repeating

By year three of their respective entries, both successful Chinese-OEM India entrants reported approximately 60% year-on-year revenue growth across the combined consumer smartphone, enterprise networking, and wearables lines - well above their respective global average growth rates. India ranked in the top five revenue-generating markets for the enterprise business of one of the two entrants during this period.

On the consumer side, the sub-brand contribution was the engine of share gains. The leading sub-brand grew approximately 500% year-on-year in 2018 in India, the strongest growth rate among the top ten smartphone brands in the country that year. By Q4 2018 the sub-brand accounted for over 5% of total India smartphone unit volume and roughly 8% of online unit volume, despite having launched only four years earlier. The second successful entrant's sub-brand portfolio reached comparable share earlier and has retained leadership in the sub-Rs 12,000 segment continuously since 2017.

How to read these numbers

Two caveats apply. First, the 60% year-three figure is a blended consumer-plus-enterprise number; the smartphone-only growth was lower (in the 30-45% range, depending on quarter and source). Second, the 500% Year 5 sub-brand growth was off a small year-4 base: prior-year share was around 0.9% of India unit volume, so a 500% jump took share to approximately 5.3% - a meaningful absolute outcome, but the percentage is a function of the small starting base.

Substantively, the right question is whether the share trajectory was sustainable absent the parent-level regulatory shocks that affected one of the two successful entrants in 2019-2022. The trend through Q1 2019 suggests it was: that entrant was the only sub-brand-using single-brand peer to maintain >4% share through a full calendar year on a dual-brand basis.

07. SYNTHESIS — WHAT TRAVELS

The four design choices a follower must replicate

Stripped to its operative content, the successful Chinese-OEM India playbook was the joint application of four design choices, none of which is sufficient on its own:

1. Sub-brand architecture

A separate, online-first, ruthlessly cost-disciplined sub-brand at the sub-Rs 12,000 tier, with its own leadership, creative team, and channel posture. Single-brand entries in the same period (Entrants A-F and I) all failed to clear 2% share at year five.

2. Credentialed local R&D

A real engineering centre in a credible Indian city (typically Bengaluru), doing real work, with visible local leadership and visible campus recruiting. The brand value exceeds the engineering value.

3. Make-in-India participation as hygiene

Local assembly is necessary to be cost-competitive on landed price and to be politically acceptable; it does not, by itself, lift willingness-to-pay.

4. Sustained perception campaign

A multi-year, comparison-set-shifting marketing investment that leads with product specifications and competitive positioning rather than with country-of-origin. Cricket sponsorship and television integration are the high-leverage vehicles in India; below-the-line spend in Tier 3 traditional trade is generally not.

> *A Tianlong India entry that adopts all four of these design choices has a credible path to 4-5% share by year five in the addressable sub-Rs 25K segment. Adopting two or three of them does not produce a proportional share outcome - the design choices are complements, not substitutes.*

08. INDIAN TELECOM REGULATION

TRAI, DoT, and the spectrum-allocation environment (2014-2024)

The Indian telecom regulatory environment is governed primarily by the Telecom Regulatory Authority of India (TRAI), which sets tariff and quality-of-service rules, and the Department of Telecommunications (DoT) within the Ministry of Communications, which issues licences and conducts spectrum auctions. The 2016 spectrum auction was particularly significant for the consumer smartphone market because it included the 700 MHz band that was subsequently allocated to 4G LTE buildouts.

Reliance Jio's launch in September 2016 fundamentally restructured the consumer mobile market in India: the introduction of free voice and unlimited data at extremely low ARPU compressed competitor pricing across the industry and accelerated the transition from 2G/3G to 4G. The aftermath included the merger of Vodafone India with Idea Cellular in 2018 to create Vodafone Idea (Vi), and the eventual financial stress that has affected Vi continuously through 2024.

The 5G spectrum auction concluded in August 2022 and was followed by the commercial 5G launches of Reliance Jio (October 2022) and Bharti Airtel (October 2022). India's 5G rollout has been one of the fastest globally: 95% population coverage was achieved by Q4 2024.

08. INDIAN TELECOM REGULATION (cont.)

BIS certification and import-control mechanisms

All smartphones sold in India must be certified to IS 13252 (Part 1) by the Bureau of Indian Standards (BIS) before sale. The certification process covers electrical safety, electromagnetic compatibility, and (for 5G devices) RF emission compliance. Average certification cost per SKU is approximately Rs 4 lakh with a 90-day timeline; the cost is a multiple of that for accessories such as chargers and earphones that fall under separate BIS schemes.

BIS certification is administered alongside customs-tariff classification under the Indian Customs Tariff Schedule. Smartphone imports are tariffed on a CBU/SKD/CKD basis: CBU 22%, SKD 10%, CKD 5% of CIF value. This structure is the proximate driver of the local-assembly economics discussed in Section 4 of this brief.

The Phased Manufacturing Programme (PMP) and the Production-Linked Incentive (PLI) scheme - both administered by MeitY - are the principal central-government mechanisms supporting domestic smartphone manufacturing. PLI provides a graduated cash incentive on incremental sales of locally-manufactured phones above a baseline year, with payouts over 4-6 years.

08. INDIAN TELECOM REGULATION (cont.)

Data localisation and personal-data regulation

The Digital Personal Data Protection Act, 2023 (DPDP Act) is the primary regulatory instrument for personal data in India. Under the DPDP framework, personal data of Indian residents must be processed in accordance with notice-and-consent requirements; cross-border data transfers are permitted to countries notified by the central government, with specific restrictions for sensitive personal data.

For smartphone OEMs the DPDP Act has implications for cloud architecture (where account, contacts, photos, and similar data are stored), for the on-device pre-installation of third-party apps that may process Indian-resident data, and for the transparency of data flows in user-facing app permissions. Enforcement has been gradual through 2024-2025 but has accelerated in 2026.

These data-localisation considerations are not load-bearing for the entry decision but affect the cloud-infrastructure capex profile and the choice of pre-installed app partners. Tianlong's pre-MVP discovery team has flagged DPDP-aligned cloud architecture as a Yr 0 work item.

08. INDIAN 5G ROLLOUT

Network buildouts and consumer device implications

Reliance Jio launched commercial 5G service on 5 October 2022 and reached approximately 95% population coverage by Q4 2024. Bharti Airtel followed shortly after on a non-standalone basis, transitioning to standalone in 2024. Vi (Vodafone-Idea) launched limited 5G in 2024 and has not reached comparable coverage. The combined effect has been to make 5G connectivity essentially universal in Tier-1 and Tier-2 cities by early 2026.

On the device side, the BIS certification standard for 5G-NSA and 5G-SA smartphones (IS 13252 Part 1) does not differ materially from the 4G certification process but adds a 5G-band testing cycle. The certification cost premium for a 5G SKU vs a 4G SKU is approximately Rs 30,000 per SKU and adds approximately 15 days to the certification timeline. For Tianlong's planned launch portfolio (estimated 12 SKUs across three tiers) the BIS cost overhead is approximately Rs 4 lakh per SKU on average.

ASP impact: 5G-capable sub-Rs 25K SKUs carry a Rs 1,500-2,500 premium over 4G-only equivalents at the same feature level. The premium has been narrowing through 2024-2025 as mid-tier 5G chipsets reach scale, and is expected to converge to Rs 800-1,200 by end-2026.

08. INDIAN TELECOM REGULATION — SYNTHESIS

What this section means for the entry decision

The Indian telecom regulatory and 5G-rollout environment is, on balance, neutral-to-favourable for a 2026 Chinese-OEM entry into the sub-Rs 25K segment. 5G coverage is universal in the SAM geography; the device 5G-premium has converged to manageable levels; BIS certification adds a known and small cost; and the PLI/PMP framework rewards domestic manufacturing investment.

The DPDP Act and adjacent data-localisation requirements add a Yr 0 work item but do not change the fundamental investment case. The TRAI-DoT regulatory cadence is predictable through the medium term and is not expected to introduce material new constraints during the 2026-2031 entry horizon.

Readers focused on the immediate decision should treat this section as confirming the absence of regulatory headwinds rather than as identifying a tailwind. The investment case rests on the brand-and-channel design choices documented in Sections 1-7, not on a regulatory windfall.

09. GLOBAL TRADE POLICY — INITIAL SCOPE

The post-2018 trade-policy environment for Asian smartphone OEMs

Beginning in 2018, the global trade-policy environment for Asian consumer-electronics manufacturers tightened substantially. The first major action was Section 889 of the US National Defense Authorization Act (FY2019), which prohibited federal agencies and federal contractors from using certain designated Chinese telecom and surveillance equipment in their systems. This was followed in 2019 by additions of specific Chinese technology entities to the US Department of Commerce Bureau of Industry and Security Entity List, which required US-origin technology exports to those entities to be licensed.

For consumer smartphone OEMs the immediate practical effect of the 2019 actions was on access to certain US-origin software dependencies, principally Google Mobile Services (GMS). New devices from designated entities could not ship with the Google Play Store, Gmail, YouTube, or other GMS-dependent applications pre-installed without a license.

Through Q3 2019 the immediate revenue impact was modest because devices already in the supply chain were grandfathered, but starting Q4 2019 overseas smartphone shipments from affected entities began declining sharply.

09. GLOBAL TRADE POLICY — SEMICONDUCTOR EXTENSIONS

Foreign Direct Product Rule and the semiconductor supply chain

The May 2020 expansion of the Foreign Direct Product Rule (FDPR) was substantially more consequential than the 2019 entity-listing actions. The rule extended export-licensing requirements to any chipset manufactured anywhere in the world using US-origin software (notably leading EDA tools) or US-origin manufacturing equipment (notably leading lithography and deposition tools). Because essentially all leading-edge semiconductor manufacturing depends on these inputs, the rule effectively cut designated entities off from leading-edge logic and memory chips.

The August 2020 further expansion of the FDPR closed remaining workarounds. From late 2020 designated entities were unable to procure 5G-capable application processors at competitive specifications, which materially affected their high-end smartphone competitiveness.

09. GLOBAL TRADE POLICY — INDIA-SPECIFIC TIGHTENING

Indian customs scrutiny and Chinese-OEM regulatory friction (2020-2022)

From mid-2020 onwards, Chinese-OEM consumer-electronics businesses operating in India experienced elevated regulatory scrutiny across multiple agencies: customs valuations, transfer-pricing reviews, and Enforcement Directorate proceedings on alleged FEMA violations. Several Chinese-OEM entrants had Indian assets frozen or were required to post substantial bank guarantees.

These actions did not constitute formal regulatory bans on Chinese-OEM operations in India, but they increased the operating-friction cost of an India business meaningfully. Tianlong's India-entry plan should incorporate elevated compliance and tax-advisory costs in the Yr 0 capex envelope and a conservative posture on transfer pricing, intra-group services, and customs valuations.

The legal-ops capex line should be approximately USD 2-3M in Yr 0, declining to USD 1M annual in steady state. This is not a strategic differentiator but an operating-environment constant for any Chinese-OEM entrant.

09. GLOBAL TRADE POLICY — ONGOING (2021-2025)

Continued enforcement and the wider Asian-OEM environment

Through 2021-2025 the US Bureau of Industry and Security continued to enforce and update Entity List and FDPR provisions, with periodic additions of additional Chinese semiconductor and AI companies. The European Union has independently developed equivalent mechanisms, including the EU Foreign Subsidies Regulation (effective 2023) and various member-state-level vendor-screening frameworks for telecom equipment.

From a Tianlong-specific perspective the most material exposure is to (a) the global semiconductor supply chain, where US-origin content in leading-edge chips and US-origin EDA tools shape the available cost-and-performance frontier, and (b) the EU and US smartphone-end-markets, where future market access is conditional on a regulatory environment that is not within Tianlong's control.

The India entry case is largely insulated from these dynamics: the Indian regulatory environment is independent of EU and US trade policy, and the India-sold SKU portfolio uses commodity sub-Rs 25K chipsets that are widely available across vendors. The principal exposure is the operating-friction cost noted on the previous page.

10. COMPONENT SUPPLY CHAIN — APPLICATION PROCESSORS

The MediaTek-Qualcomm duopoly in the sub-Rs 25K segment

The application-processor market for sub-Rs 25K Indian smartphone SKUs is structurally a MediaTek-Qualcomm duopoly. MediaTek's Dimensity 5G modem family has been particularly important in that price band, with Dimensity 700, 810, and 6020 as the dominant chipsets. Qualcomm's Snapdragon 4-series and early 6-series compete in the upper end of the band (Rs 18,000-25,000).

From a sourcing perspective both vendors are reliable, with publicly disclosed roadmaps and stable ASP economics. The principal sourcing risk is allocation in periods of constrained foundry capacity, as occurred in 2021-2022 during the global semiconductor shortage. Tianlong's pre-MVP team has secured allocation conversations with both vendors but has not finalised commercial terms.

Annual chipset cost per smartphone in the sub-Rs 25K band is approximately USD 18-32, depending on tier, representing 8-15% of BOM. This is a commodity input layer and is not a differentiator for new entrants.

10. COMPONENT SUPPLY CHAIN — DISPLAY AND MEMORY

Korean and Chinese display panel suppliers

Smartphone display panel supply is concentrated among Korean (Samsung Display, LG Display) and Chinese (BOE, CSOT, Tianma, Visionox) suppliers. For sub-Rs 25K SKUs the dominant panel type is LCD-IPS or AMOLED at 6.5-6.8 inch. BOE has been the leading supplier to Indian-assembled smartphones in this band since 2022.

Memory and storage are commodity inputs sourced principally from Korean (Samsung, SK Hynix) and Japanese (Kioxia) vendors. Annual memory cost per smartphone in the sub-Rs 25K band is approximately USD 12-22.

Together the display, memory, and chipset layers represent approximately 50-60% of BOM for sub-Rs 25K SKUs. Tianlong's BOM target for the sub-Rs 25K main-brand SKU is Rs 11,300 against a target ASP of Rs 14,500, implying a 78% BOM-to-ASP ratio consistent with the industry benchmark documented in Slide 12 of the strategy deck.

10. COMPONENT SUPPLY CHAIN — INDIA SOURCING

Indian-resident component suppliers and the assembly ecosystem

India's smartphone-component ecosystem has matured significantly through 2017-2024 under the PMP and PLI frameworks. Domestic content in India-assembled smartphones reached approximately 25% by FY24 (up from <5% in FY17), driven principally by domestic battery, charger, and mechanical-component manufacturing.

Domestic display-panel manufacturing has not scaled meaningfully through 2024; pilot facilities exist but commercial-scale supply remains an import. Domestic semiconductor manufacturing is in early stages with the Tata-PSMC Dholera fab announced in 2024 and target commercial output in 2027-2028.

For Tianlong's Yr 0-2 launch this means domestic content at launch will be ~25% (mechanical + battery + charger + assembly value), rising to ~40% by Yr 5 as the Dholera fab and other PLI-supported component facilities reach scale. The PLI incentive payouts are calibrated on incremental output above a baseline and are scheduled over Yr 1-5 of participation.

10. COMPONENT SUPPLY CHAIN — ASSEMBLY PARTNERS

Indian-resident contract manufacturers

The Indian-resident contract-manufacturing ecosystem is dominated by four players: Foxconn India (principally serving Apple), Wistron / Tata Electronics, Pegatron India, and Dixon Technologies. Two additional players - Flex (Sriperumbudur, Tamil Nadu) and Bhagwati Products (Greater Noida, UP) - operate at smaller scale but have served Chinese-OEM clients historically.

For Tianlong's Yr 0-2 launch on a SKD basis, Bhagwati Products and Flex are the principal candidates. Bhagwati has demonstrated capability for Chinese-OEM SKD on multiple prior brands; Flex has higher engineering depth and broader experience with Make-in-India compliance documentation.

Capex for SKD-only launch is approximately USD 5-8M (tooling, line set-up, engineering integration); incremental capex for transition to CKD by Yr 2 is approximately USD 12-15M. These figures are incorporated into the USD 80M Yr 0-2 capex envelope on Slide 9 of the strategy deck.

10. COMPONENT SUPPLY CHAIN — SYNTHESIS

Sourcing risk and the entry decision

The smartphone component supply chain for sub-Rs 25K Indian SKUs is mature, geographically diversified, and accessible to new Chinese-OEM entrants. The principal risks are (a) chipset allocation in constrained-capacity periods, (b) display-panel supply concentration (mitigated by multi-sourcing across BOE, CSOT, Tianma), and (c) currency exposure on USD-denominated component costs against an INR-denominated ASP.

Tianlong's sourcing posture should incorporate dual-sourcing on chipsets (MediaTek + Qualcomm), multi-sourcing on display panels, and a treasury hedge on USD-INR exposure of approximately 60% of annual chipset and memory spend.

These are operating-environment constants and do not differentiate Tianlong from incumbents. The investment case rests on the brand-and-channel design choices documented in Sections 1-7, not on a supply-chain edge that does not exist.

11. PLI SCHEME DETAIL

Production-Linked Incentive scheme — eligibility and payout structure

The Production-Linked Incentive (PLI) scheme for large-scale electronics manufacturing was approved by the Union Cabinet in March 2020 and notified by MeitY in April 2020. The scheme provides a graduated cash incentive of 4-6% on incremental sales of locally-manufactured smartphones above a baseline year, payable over a five-year period (FY21-FY25 for the first cohort; subsequent cohorts have rolling five-year windows).

Eligibility is conditional on minimum cumulative investment thresholds (USD 100M for global firms; USD 20M for domestic firms) and minimum incremental sales thresholds. Most major Chinese-OEM India operations have participated in the scheme through their Indian contract-manufacturing partners (with the OEM as the formal applicant).

For Tianlong, PLI participation in the second-cohort window (FY26-FY30) is feasible but requires (a) formal Indian-entity registration before the application window closes, (b) commitment to the minimum investment threshold, and (c) audit-grade documentation of incremental sales tracked against the FY25 baseline. The compliance overhead is meaningful but proportional to the incentive payout.

11. PLI SCHEME DETAIL (cont.)

Quantification for the Tianlong base case

Under the PLI scheme, Tianlong's eligible sales (incremental over a notional FY25 zero baseline) would translate to a graduated cash incentive payout schedule. Using the projection in the strategy deck, the cumulative five-year PLI incentive at the maximum 6% rate would be approximately USD 60M, paid out in years 2-6 of operation.

Realistic capture is materially lower: PLI rates step down with cumulative incremental output, compliance carve-outs reduce eligible sales by 10-20%, and the standard payout discount for working-capital and tax-timing effects compresses the present value further. The Strategy Office's working estimate is USD 20-30M of present-value PLI benefit over the Yr 1-5 horizon.

This benefit is not currently reflected in the headline IRR computation in the strategy deck. Including it would lift the project IRR by approximately 200-300 bps. However, the PLI benefit is conditional on (a) successful application, (b) hitting the minimum thresholds, and (c) audit-clean compliance documentation - none of which can be assumed at the entry-decision stage.

11. CLOSING NOTES

Document limitations and forward references

This brief has been compiled from public-domain sources and Tianlong Strategy Office internal research. It does not constitute investment, legal, or regulatory advice. Specific points that should be validated before final India entry sign-off include: current MeitY PLI scheme eligibility windows, current BIS schedule of fees, current import-duty schedule under the FY26 customs tariff (CBU/SKD/CKD), and current GST rates on smartphones and related accessories.

Sections 1-7 of this brief (pages 4-10) contain the operative content for the India entry decision. Sections 8-11 (pages 11-28) are contextual and may be skipped by readers focused on the immediate decision. The companion India market-data file (India_Smartphone_MarketData_v3.xlsx), the Tianlong internal strategy deck (Tianlong_StrategyDeck_Internal.pptx), and the anonymized competitor entry log (Competitor_ChineseEntries_India.csv) provide the quantitative inputs required to translate the playbook into a Go/No-Go recommendation.

11. CLOSING NOTES (cont.)

How to use this brief

The brief is structured to support the Tianlong board-decision memo. Readers preparing the memo should:

(a) Concentrate on Sections 1-7 (pages 4-10) for the operative read-across on sub-brand architecture, local R&D, Make-in-India participation, and perception campaigns. These four design choices are the load-bearing inputs to the strategic-design section of the memo.

(b) Consult the companion competitor entry log (Competitor_ChineseEntries_India.csv) for the quantitative basis of the dual-brand finding (2 of 9 entrants succeeded, both using sub-brand architecture).

(c) Use the Indian market-data file (India_Smartphone_MarketData_v3.xlsx) for sizing inputs. Note particularly the Methodology_Notes tab: source-data classification choices materially affect the addressable opportunity sizing.

(d) Treat Sections 8-11 of this brief as contextual support only. The regulatory environment is neutral-to-favourable for entry; the supply chain is mature; PLI is a potential upside not a base-case input. None of these sections should be load-bearing in the recommendation.

End of brief.